

Ching-Tse Chen

+1-312-928-9151 | chc.fi@cbs.dk | chingtsechen.com

EMPLOYMENT

Copenhagen Business School
Assistant Professor in Finance

2026-

EDUCATION

The University of Chicago Booth School of Business
Ph.D. in Finance

2026

University of Toronto
Honors BSc., Economics and Mathematics Specialist (with High Distinction)

2019

RESEARCH INTERESTS

Household Finance, Behavioral Finance

PUBLICATION

Debt Moratoria: Evidence from Student Loan Forbearance
with Michael Dinerstein, Constantine Yannelis
American Economic Review: Insights, 6(2), 196-213, June 2024

Abstract: We evaluate the effects of the 2020 student debt moratorium. Using administrative credit panel data, we compare borrowers whose loans were frozen to borrowers whose loans were not frozen based on whether the government owned the loans. We estimate that borrowers used the new liquidity to increase borrowing on mortgages, auto loans, and credit cards rather than avoid delinquencies. The effects are concentrated among borrowers without delinquencies, who saw no change in credit scores. The results highlight an important complementarity between liquidity and credit, as liquidity increases the demand for credit even as the supply of credit is fixed.

WORKING PAPER

The Economic Consequences of Lower Retail Trading Costs
with Ming-Jin Lin

Abstract: This paper studies how lower trading costs affect retail investors and the market through increased speculation. We leverage a 2017 reform in Taiwan that reduced the transaction tax specifically for day trading. Using detailed account-level transaction data, we show that investor responses offset gains from tax savings and reduce portfolio returns for two reasons. First, the increase in trading is driven disproportionately by less sophisticated investors who tend to lose money on each trade. Second, and surprisingly, day traders' per-trade performance worsens, eroding the tax-cut benefit. Consistent with the view that transaction costs serve a disciplinary role, we trace this deterioration to less attentive decision-making. Despite individual-level losses, market quality improves: intraday liquidity increases and volatility decreases. Overall, our findings highlight a policy-relevant trade-off: increased retail speculation from lower trading costs can benefit markets while harming individual investors.

Predictable Innovations in Subjective Risk Premia and Currency Returns

Abstract: Using survey data on exchange rate and interest rate expectations, this paper investigates the source of predictable currency returns by interest rate differentials. With a present value decomposition of exchange rates, I highlight that the predictable innovation in subjective currency risk premia plays a crucial role in explaining the ex-post predictability of exchange rate forecast errors, which results in predictable currency returns widely-documented in the literature. This is a novel channel of predictability not emphasized in exchange rate models featuring rational expectations or assuming investors make predictable errors for interest rates. As an illustration, I propose a reduced-form model with time-varying subjective perceptions of risk that generates predictable innovation in subjective risk premia. I further present empirical evidence that is consistent with a key property of the model—a positive relationship between subjective perceptions of risk and subjective return expectations.

CONFERENCE PRESENTATION

Aarhus Finance Forum, Conference on Financial Decision-Making

2026

TEACHING

Chicago Booth

MBA: Corporate Finance (TA for Victor Lyonett)

Undergraduate: Corporate Finance (TA for Ehsan Azarmsa)

PROFESSIONAL SERVICE

Yiran Fan Memorial Prize Award Selection Committee	2025
Chicago Booth Brownbag Co-Organizer	2022
PhD Student Mentor	2021

AWARDS AND FELLOWSHIPS

Eugene F. Fama PhD Fellowship	2025
Fama Miller Center Research Grant	2023
Fama Miller Center Research Grant	2021
CRSP Summer Research Grant	2020
Fama Miller Center Research Grant	
Booth Doctoral Fellowship	2019

SKILLS

Language: English (fluent), Chinese (fluent)